

NAME: DATE: 7/20/2018

Company Name: Old Dominion Freight Lines
Stock Symbol: NASDAQ: ODFL
Company Address: 500 Old Dominion Way, Thomasville, NC 27360
Company Phone: (336) 889-5000
Company Website: odf.com
Investor Relations: ir.odf.com
Stock Price: \$142.95
Market Cap.: 13.22B

BUSINESS DESCRIPTION [D, 17]

- Old Dominion Freight Line, Inc. (NASDAQ: ODFL), in the trucking sector of the transportation industry, is a less-than-truckload (LTL) freight company.
- LTL carriers typically pickup numerous shipments per day, generally ranging from 100 to 10,000 pounds, and consolidate them at carrier-operated service facilities within a certain radius and then transport the shipments from the origin facility to the carrier-operated destination facility and then deliver the shipments to the ultimate destination.
- LTL carriers require expansive networks of pickup and delivery operations around local service facilities, shipments are moved between origin and destination often through an intermediate distribution or "breakbulk" facility.
- ODFL offers regional, inter-regional and national LTL carrier service.
- In addition to its core LTL services, ODFL offers:
 - logistics services including ground and air expedited transportation,
 - Supply chain consulting,
 - transportation management,
 - truckload brokerage,
 - container delivery and warehousing,
 - household moving services.
- They also contract with freight forwarding services throughout the world.
- Their motto is **Helping the World Keep Promises®**.

HISTORY [A, C, 40]

- Started in 1934 by Earl and Lillian Congdon.
- Earl Congdon Jr. joined ODFL in 1949 and eventually took it over from his mother Lillian, and was CEO between 62 and 2008
- Earl Congdon Jr.'s brother John Congdon and his son John Jr. held positions on the board
- ODFL went public in 1991.
- Earl Jr.'s son David Congdon became President in 1997 and CEO in 2008 until 2018.
- Greg Gantt took over as CEO in May 2018.
- Earl Jr. and David Congdon remain on the board.
- The Congdon family still owns 20% of ODFL.

RADAR/MEANING [A, 11, 24, 30, 32, 35, 39]

- I have seen Old Dominion Trucks on the highway in California for years.
- ODFL showed up in my three circles exercise and after looking at the 3M numbers it was worth digging in deeper.
- I have had relatives and friends that have worked in the trucking industry, both drivers and management.
- My business partners and I started a division of our small business that required many large trucks. From this experience, I became familiar with government regulations regarding trucking, maintenance, vehicle breakdowns, scheduling (logistics) employee issues and the challenges of making all the individual parts work together.
- ODFL is focused on a small sector of the transportation industry, is not that complex of a business and a company I can understand.
- Why I Love this company
 - The founders family remain involved in the company, and they own 20% of the company.
 - Over the last 10 years, they have:
 - Steadily reduced their total debt/revenue from 25% to 2.8%.
 - Steadily increased market share
 - Decreased their Operating Ratio (improved efficiency) and increased their profitability
 - Work Life Balance
 - ODFL drivers are not long haul carriers, so they are not on the road for weeks at a time. Most of their drivers work regular shifts or are gone overnight for one night at most.
 - LTL drivers make 10K per year more than long haul drivers.
 - ODFL has a very high retention rate compared to the industry for their drivers
 - They have a driver training school and promote from within.
 - ODFL is the third largest LTL (Less than TruckLoad) trucking company behind FedEx Freight and XPO Logistics. LTL is a high percentage of ODFL's revenue but is a small portion for these companies.
 - In 2017 ODFL had greater than 99% on-time deliveries and cargo damage was less than 0.3% which far exceeds Walmart's requirements and most trucking companies.
 - They have invested heavily in technology, and they are known for it.
- In the next 10 years, I think the LTL trucking sector will thrive. ODFL is optimally positioned to keep up with the demand and increase market share.
 - E-commerce, which requires fast shipping, guaranteed deliveries and undamaged cargo, are ODFL's strengths,
 - Retailers are working hard to match Amazon's Prime shipping, which includes reducing long range shipping time for their ecommerce. In the mean time, Amazon is raising the bar by adding more and more same day and next day deliveries.
 - To keep up, Walmart has initiated fines for shippers that cannot meet the required delivery date at least 75% of the time.
- Retailers and manufacturers have moved toward reducing inventory, receivables and warehouse space by using just-in-time shipping. In other words, goods, parts, etc. arrive when they are needed rather than stockpiling large quantities in local warehouses. Over the last 10+ years has invested heavily in technology and additional service centers and hubs to improve their on-time delivery percentage, to reduce cargo damage, to offer coverage of the 48 continental 48 states. They are consistently finding ways to increase their load per trip to meet these demands. It appears that they saw the market trend coming and positioned themselves to meet the demand.

GURU OWNERSHIP

- According to the Rule1 website, Lee Ainslie owns 21,710 shares. According to [GuruFocus](#), Wallace Weitz sold his ODFL stock in 2016 and Lee Ainslie sold his ODFL stock in 2015.

BIG AUDACIOUS GOAL [C-2017, 2009]

- "We believe we are the best positioned LTL carrier to win market share in 2018 and are encouraged by recent industry and macroeconomic trends. More importantly, we believe we are best positioned to capture long-term market share and can benefit from trends that favor the LTL industry, such as the growing sophistication of supply chains that require an increased focus on service for time-sensitive shipments."
- ODFL has strategically grown the company from one truck in 1934, to 1500 trucks in 1996 and 7600 in 2017. During that time they have extended their reach to the entire continental US and established facilities in Hawaii and Alaska. In 2007 they said that they would "complete the expansion of their geographic footprint with full state coverage of the contiguous states within 3 to 5 years. In 2009 they completed the expansion in a year when other LTL truckers were slashing their prices and were the only profitable LTL carrier that year."

MOAT

ODFL has **Secrets** and **Brand** moats [A, C, 6, 9, 11, 30]

- ODFL has steadily invested in technology ahead of their competition.
- They have leveraged technology to improve efficiency, cut costs, and provide accurate pricing and a byproduct is customer access to up to real time shipping information.
- Their advantage over the competition is all of this is in place now, it is up and running, it is paid for (as evidenced by their low debt), they can charge a premium for it and they will be able to reap the benefits for years to come.
- In their 2009 10-K they said "our operating structure and **proprietary information systems** enable us to provide higher customer service levels and better manage our operating costs."
- ODFL's brand moat exists because they excel at providing excellent service because they employ the technology to excel at the required key metrics and are able to charge a premium for their services.

GROWTH RATES	
Avg of Rule1 -3, 5, 7 and 10 year Growth Rates	
BVPS+ Dividend	17.4%
EPS	23.1%
OCPS	13.8%
Sales	9.4%
Avg. of 5 year Moat <u>Numbers</u>	15.0%
MOS Calculator	23.5%
Analyst Projections (MOS Calculator)	15.9%
BVPS (forward) I	15.0%
BVPS (backward)	14.4%
EPS 2011 to 2017	22.1%
Future Growth Rate Selected*	12%

- * Because trucking is cyclical, I believe there will be some bumps in the road between the time I purchase ODFL and the time I sell it, if I ever do, so I have chosen a lesser (conservative) FGR of 12% for the MOS valuation.

Moat Numbers							
	Moat:Compound Growth Rate	10 Years	7 Years	5 Years	3 Years	1 Year	Rating
Old Dominion Freight Line (ODFL) Market Cap 13.22b	BVPS+Dividend Growth Rate	16.8%	19.4%	17.6%	15.6%	24.8%	100
	EPS Growth	20.5%	29.6%	22.3%	20.1%	56.8%	100
	OCPS Growth	13.0%	21.0%	10.3%	11.0%	-5.2%	100
	Sales Growth	9.1%	12.4%	9.7%	6.4%	12.3%	62
	Rule One Moat Score						91
	BVPS+Dividend Growth Rate	69.7%	94.7%	71.2%	29.6%	33.5%	100
XPO Logistics (XPO) Market Cap 12.27b	EPS Growth	65.8%	83.3%	31.9%	63.2%	393.0%	100
	OCPS Growth	69.7%	139.7%	50.9%	98.3%	27.7%	100
	Sales Growth	76.4%	92.3%	123.1%	86.9%	5.2%	100
	Rule One Moat Score						100
	BVPS+Dividend Growth Rate	11.2%	16.0%	18.0%	16.7%	20.6%	100
	EPS Growth	17.4%	73.1%	23.3%	20.6%	89.8%	100
SAIA (SAIA) Market Cap 2.07b	OCPS Growth	13.1%	31.4%	9.4%	15.6%	8.3%	88
	Sales Growth	3.5%	6.2%	4.6%	2.7%	13.1%	12
	Rule One Moat Score						75
	BVPS+Dividend Growth Rate	0.5%	5.0%	8.0%	6.3%	10.0%	25
	EPS Growth	0.5%	24.4%	29.4%	9.0%	220.2%	62
	OCPS Growth	0.6%	28.5%	12.4%	1.9%	37.8%	50
ArcBest (ARCB) Market Cap 1.16b	Sales Growth	4.4%	7.9%	6.5%	2.7%	4.7%	25
	Rule One Moat Score						41
	BVPS+Dividend Growth Rate	-100.0%	0.0%	0.0%	0.0%	0.0%	0
	EPS Growth	-33.5%	-38.4%	-40.1%	-45.8%	-150.2%	0
	OCPS Growth	-17.0%	77.4%	28.8%	28.7%	-41.1%	75
	Sales Growth	-6.5%	1.7%	0.2%	-1.2%	4.1%	0
YRCW Worldwide (YRCW) Market Cap 345m	Rule One Moat Score						19

MANAGEMENT [A, C, 6, 14, 33]

Up until May 2018, ODFL has been run by a member of the Congdon family who founded the company. They announced a management transition in 2018 but it appears it was in the works since 2015.

- David Congdon (60) stepped down from the CEO position he held since Jan 2008.
 - He took over from his father Earl Congdon.
 - He has been Vice Chairman of the board since May 2015.
 - He took over as Chairman of the Board in May 2018 from his father, Earl Congdon (86), who became Senior executive chairman.
 - Both David and Earl Congdon stated in the 2018Q1 earnings call that they will remain active in the company.
- Greg Gantt (62) took over as CEO in May 2018.
 - Greg Gantt Timeline
 - May 2018 to Present President and CEO
 - May 2015 to May 2018 President
 - June 2011 to May 2015 Exec. VP
 - Jan 2002 to June 2011 Sr. VP of Operations
 - Nov 1994 to Jan 2002 Various Positions & Regional VP
 - Pre 1994 Worked for Carolina Freight
 - Mr. Gantt, through his ever-increasing roles and responsibilities with Old Dominion over the past 24 years, has played a critical role in the development of its operational plan and offers the Board significant expertise in LTL industry leadership and business strategy.
- J. Wes Frye, CFO, retired at 67 in 2015. He had been CFO for ODFL for 30 years.
 - He was replaced with Adam Satterfield who worked with Frye for 10+ years, and has been with ODFL since 2004.
- The senior management team has significant longevity with ODFL:
 - Cecil E. Overbey Jr., Senior Vice President -Strategic Development, since 1995
 - David J. Bates, Senior Vice President – Operations, since 1995
 - Kevin M. Freeman, Senior VP-Sales, since 1997,
 - Adam N. Satterfield, Senior Vice President – Finance, Chief Financial Officer and Assistant Secretary, since 2004
 - Ross H. Parr, XXXX, Senior Vice President – Legal Affairs, General Counsel and Secretary, since 2011

- A core focus of ODFL's message has been to increase shareholder value through creating strategic advantages, improved financial strength, expansion of assets, specializing in one sector of the industry, and keeping it all within one company.
 - They have not ventured into other services unless it enables customers to more effectively manage their supply chain.
- In 2014, ODFL announced a share repurchase program, however, they "seek to purchase shares only when it offers a superior value to our shareholders."
- In 2016, they declared a quarterly \$0.10 dividend for the first time which increased to \$0.13 in June, 2018.
- In their 2017 shareholder letter, they indicated that the share repurchase program "to be the primary means for returning capital to our shareholders in the future."
- The trucking industry is cyclical. When the economy is tanking, shipping volumes drop. Yet through the great recession (2007-2011), ODFL's revenue grew, their market share improved from 6th to 4th and they remained profitable.
 - They chose not to reduce prices over that period and instead offered a "Value Proposition" by showing that timely deliveries and minimal cargo claims would help their clients keep their clients.
- In the last 10 years ODFL's ROE and ROIC have steadily increased and they have outpaced their competition.
- They reduced their Total Debt (current debt + long term debt) from 305 million in 2009 to 95 million in 2017. During this timeframe they have also:
 - Reduced their Total Debt/Revenue ratio from 24.5% to 2.8%.
 - Reduced their and Total Debt/Net Income ratio from 876% to 20.5%.
 - Improved their Operating Ratio.
 - Became more profitable.

I think ODFL will be an excellent company to own for at least the next 10 years because:

- They are ideally positioned in a sector (LTL) of the transportation industry that has significant opportunity to outpace the growth of the overall industry.
 - Because of their foresight and investment in technology, ODFL has proven that they can meet the demands of the industry as it evolves to deliver the shorter and shorter shipping requirements of ecommerce and just-in-time delivery for manufacturing.
- Even though they have a new CEO, their management team has significant longevity with the company. Further, the outgoing Congdon family members have stayed involved with the company, indicated that they plan on continuing to be involved, remain on the board, and retain significant ownership of company stock.

Management Numbers							
	Management: Average Rate of Return	10 Years	7 Years	5 Years	3 Years	1 Year	Rating
Old Dominion Freight Line (ODFL)	ROE	15.1%	17.4%	17.8%	18.1%	20.4%	100
Greg C. Gantt-1, President & CEO	ROIC	13.1%	15.7%	16.7%	17.4%	20.0%	100
Compensation-2.9M salary+346K Equity + 18K Other = 3.3M	Debt	0.10 years earnings					99
	Rule One Management Score						99
XPO Logistics (XPO)	ROE	1.3%	-2.8%	-2.1%	1.7%	9.5%	0
Bradley S Jacobs, Chairman & CEO	ROIC	1.5%	-2.0%	-1.7%	0.9%	4.3%	0
Compensation-1.4M salary+0 Equity + 9K Other = 1.4M	Debt	> 10 years earnings					0
	Rule One Management Score						0
SAIA (SAIA)	ROE	7.0%	12.1%	13.4%	12.8%	15.6%	88
Mark H. Robinson, Retired Vice President & CIO	ROIC	6.3%	10.3%	11.3%	11.1%	13.0%	88
Compensation-476K salary + 217K Equity + 40K Other = 732K	Debt	1.30 years earnings					86
	Rule One Management Score						87
ArcBest (ARCB)	ROE	0.3%	4.4%	6.2%	6.6%	9.2%	25
Judy R. McReynolds, Chairman, President and CEO	ROIC	-0.2%	3.5%	5.0%	5.1%	7.0%	12
Compensation-1.6M salary + 481K Equity + 37K Other = 2.1M	Debt	3.47 years earnings					65
	Rule One Management Score						34
YRCW Worldwide (YRCW)	ROE	-58.7%	0.0%	0.0%	0.0%	0.0%	0
James L. Welch, CEO	ROIC	-26.8%	-12.1%	-6.0%	0.6%	-2.1%	0
Compensation-892K salary + 1.2K Equity + 26K Other = 2.2M	Debt	> 10 years earnings					0
	Rule One Management Score						0

Executive Compensation [I]

Based on the following chart, it appears that ODFL's CEO's are compensated more than their competition.

- A salary survey conducted by Pearl Meyer, a compensation consultant, indicate they were "above the 75th percentile of the market; (ii) our performance was above the 75th percentile results for the thirteen publicly-traded transportation companies identified above based on a variety of financial and stockholder metrics over multiple time periods; (iii) our executive pay structure yields a much higher variable compensation mix as compared to market; and (iv) our executive compensation program continues to align pay and performance and receive strong shareholder support. For these reasons, Pearl Meyer did not recommend any changes to our executive compensation program."
- It is not expected that a compensation consultant would not find some reason to justify the executive compensation, otherwise they would be biting the hand that feeds them.
- It appears that David Congdon is "well" compensated
- It also appears that Greg Gantt is better compensated than the competition.

2017 Executive Compensation Comparison						
Name	Title	Company	Total Cash	Equity	Other	Total Compensation
David S. Congdon	Vice Chairman of the Board and CEO	ODFL	\$6,702,202	\$378,973	\$114,176	\$7,195,351
Greg C. Gantt-1	President and COO	ODFL	\$2,900,418	\$345,625	\$18,379	\$3,264,422
Bradley S Jacobs	Chairman and CEO	XPO	\$1,375,000	\$0	\$9,021	\$1,384,021
Mark H. Robinson	Retired Vice President & CIO	SAIA	\$475,628	\$217,080	\$39,780	\$732,488
Judy R. McReynolds	Chairman President and CEO	ARCBest	\$1,578,083	\$480,546	\$37,019	\$2,095,648
James L. Welch	Chief Executive Officer	YRCW	\$891,667	\$1,244,971	\$26,101	\$2,162,739

However careful review of the following table shows:

- ODFL has the most net income and the least total debt, even though they are not the largest or smallest, respectively.
- To a certain extent, Pearl Meyers findings are somewhat justified.

Overall, because of the longevity of ODFL's management and the Congdon family ownership, it would be hard to expect any of them to be working in their own interest at the expense of the stockholders.

2017 Key Numbers			
Company	Net Income	Total Revenue	Total Debt
ODFL	464m	3.36b	95m
XPO	340m	15.3b	4.52b
SAIA	91.1m	1.38b	133m
ARCBest	59.7m	2.82b	269m
YRCW	(10.8m)	4.89	906m

MARGIN OF SAFETY CALCULATOR

Future Valuation

EPS TTM: 6.16 ⓘ

EPS @ 1/16/2018 7:38 PM EST

Future Growth Rate: 12 ⓘ

Future EPS: 19.13 ⓘ

Future P/E: 24 ⓘ

Future Value: 459.12 ⓘ

MARR %: 15.00 ⓘ

MOS %: 50.00 ⓘ

FCF Per Share: 2.21 ⓘ

FCF Ratio %: 28.32 ⓘ

Green Zone Calculation:

FCF Payback Time (PBT) *

8 yrs. ▼

RESET

SUBMIT



Stock Price:	\$149.10
P/E Ratio:	24.10
Low and High PE Ratio:	— / —
PEG:	1.52
Historical Growth Rate in BVPS:	16.6%
Price to Book:	5.17
Analyst Consensus Growth Rate:	15.90%
Earnings Yield:	3.78%

VALUATION RESULTS

STICKER PRICE:	\$113.50
MARGIN OF SAFETY PRICE:	\$56.75
MARGIN OF SAFETY YIELD:	10.85%
CURRENT PRICE FCF PAYBACK TIME:	19 Yrs.
FCF PAYBACK TIME PRICE at X Yrs:	\$30.44 at 8 Yrs.

VALUATION SUMMARY	
Year	2018
Current Stock Price	\$148.29
MARGIN OF SAFETY (MOS) ANALYSIS	
EPS TTM (Earnings Per Share/Trailing Twelve Months): \$	6.16
Future Growth Rate (from calculator) or your own Estimated FGR %	12%
Future EPS in ten years \$	\$19.13
Estimated Future P/E Ratio in five to ten years	24
Future Value in ten years \$	\$459.17
Minimum Acceptable Rate of Return (MARR) per year: %	15%
Sticker Price \$	\$113.50
MARGIN OF SAFETY PRICE \$	\$56.75
PAYBACK TIME (PBT) ANALYSIS (using MOS Calculator in the Toolbox):	
FCF-Spreadsheet (excluded 2009)	\$2.33
FCF-MOS Calculator	\$1.74
FCF-GuruFocus (TTM)	\$2.56
Average FCF	\$2.21
FCF Ratio % % (R1 MOS Calculator TTM)	28.32%
Current Price FCF Payback Time Yrs.	8
FCF EIGHT YEAR PAYBACK TIME PRICE \$	\$30.44
TEN CAP RATE ANALYSIS:	
CASH FLOW STATEMENT:	
Net Income	\$463.77
Plus Depreciation and Amortization	\$205.76
Plus/Minus Accounts Receivable	-\$76.35
Plus/Minus Accounts Payable	-\$15.49
	-
Minus Maintenance Capital Expenditures	\$191.00
INCOME STATEMENT:	
Plus Income Tax Expense	\$112.06
Total = Owner Earnings	\$498.75
STOCK AT A GLANCE:	
Divide by Shares	82.199
Owner Earnings Per Share	\$6.07
TEN CAP VALUATION PRICE (OE x 10):	\$60.68

EVENT

There is no event that has lowered the stock price. The stock price is currently \$148 and it will have to drop to about \$61 in order for me to buy with a 50% margin of safety.

INVERSION

1. The trucking industry is cyclical [A-2017, 17, 37]

It is true; the trucking industry is cyclical, it follows the economy. When consumers are not buying goods, manufacturers produce less; shipping of all sorts goes down. Further, trucking has annual cycles; with the peak being fourth quarter of the year and the first quarter is usually slack due to less demand, which fortunately coincides with weather related issues. However, ODFL currently has an advantage because they:

- Monitor everything to control costs down to the point that they track idle times of vehicles to save fuel, one of their biggest expenditure.
- Employ non-union drivers, so they are not locked into long term labor agreements.
- Non-union employees can wear multiple hats.
- Because of their investment in technology, and the resulting analytics, they can be nimble and make the necessary adjustments to remain profitable.
- Have minimal debt and they own most of their assets. Example; rent on the buildings they do not own, which is usually a big expense for most companies, is 0.2% of their operating expenses.
- Have set themselves up to be durable and competitive during a recession, which they demonstrated in 2007-2009.
- LTL shipping is more economical than FTL (Full TruckLoad) shipping.

2. Being a trucker used to be a good living, but the time away from home, long hours sitting in a truck, ensuing health issues and the money not being as good as it used to be has resulted in a truck driver shortage. [A-2017, 1, 24]

This is true in general of the trucking industry, however ODFL is a Less than TruckLoad (LTL) carrier:

- The LTL sector is not as affected by the shortage of drivers. LTL drivers have a better quality of life because most drivers sleep at home at night or maybe spend one night away from home rather than being gone for weeks.
- 48% of ODFL drivers are pickup and delivery drivers, which is a day job.
- LTL drivers make an average of \$10K per year more than the industry average.
- ODFL has a no-cost driving school which has graduated over 3,126 drivers as of 2014 and 2,892 of the graduates, which make up 28% of their driver workforce, are still employed at ODFL as of 2017. They source many of their students from existing employees working in their local service and distribution centers.
- With ODFL's willingness to invest in technology, they will likely invest in driverless technology once it becomes proven.

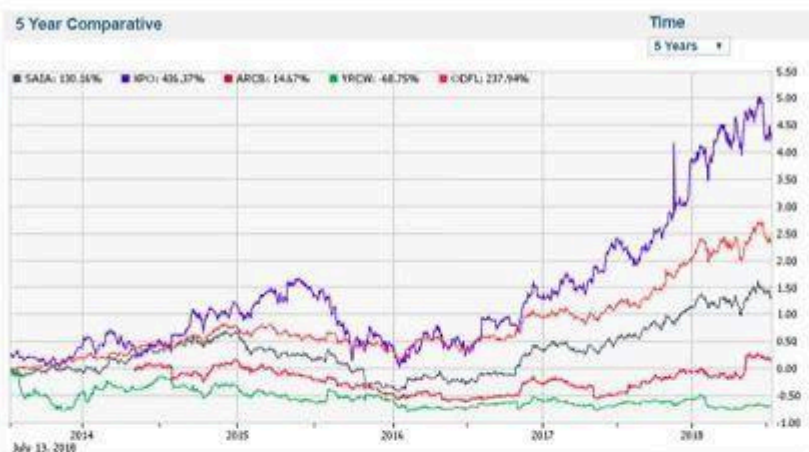
3. What happens if their clients dry up? [A-2017, J, 6, 10]

It is certainly a possibility as it is for any company. ODFL has a secondary moat that is their brand. And yes history has shown that brands have been tarnished and even destroyed by events and management. However:

- They have built their brand by providing great service at a fair price. Not the lowest price, but a fair price. And their motto is Helping the World Keep Promises®.
- "Shippers increasingly appreciate and trust our service product as evidenced by our long-term growth in market share as well as our recognition by the Mastio & Company as the number one LTL carrier for eight consecutive years.'
- Technology has allowed them to build their brand. By knowing what it costs to provide great service and only working when and for whom they can make a profit is one way to protect their brand by not lowering quality of service.
- Ecommerce is changing the shipping industry and LTL is likely to grow in market share of the overall transportation industry.
- Using Amazon as an example:
 - Amazon has strategically placed automated warehouses across the country in order to meet the demands of Prime two day shipping.
 - They currently are expanding their products available for one day shipping and same day delivery to their customers by maintaining stock locally.
 - They are exploring options for last mile delivery by using drones in addition to their existing trucks and contract delivery services.
 - They are constantly disrupting the industry by pushing envelopes and setting goals, which they do meet.
- Consumers now expect this from all retailers.
- Other retailers such as Walmart, Target, Home Depot and a host of others are upping their game to shorten shipping times because many of their offerings are not in their brick and mortar stores and because of Amazon, consumers expect it "now" and finding a quicker delivery window is only a click away.
- Keeping minimal stock locally cuts local warehousing costs if retailers know they can have it replenished in a few days.
- This plays well for ODFL because they have positioned themselves ahead of their competition to meet the needs of their customers in the changing retail and manufacturing environment.

4. **Is the new CEO going to maintain the growth and vision of the previous two CEO's which has made this company so successful?** [A-2017, 40]

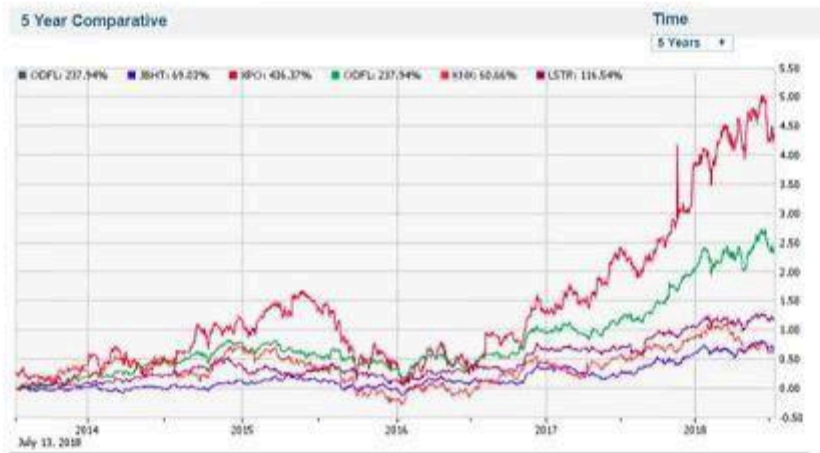
- Greg Gantt took over as CEO in May of 2018. He has been with the company since 1994, and has steadily moved up in rank from a regional VP to CEO. Prior to becoming CEO, he was president for 3 years.
- David Congdon had this to say during their 2018Q1 earnings call:
 - "The board and executive management team have the fullest confidence in Greg Gantt's ability to lead Old Dominion to new highs. He has consistently demonstrated his capabilities in his 24 years at the company, and since 2002 when he was named Senior Vice President-Operations, he has been the primary driver of our industry leading service product. His intense focus on building quality and superior performance is not only his own personal hallmark, but it continues to drive the customer and people-centric culture of the company."
- The senior management team has significant longevity with ODFL:
 - Cecil E. Overbey Jr., Senior Vice President -Strategic Development, since 1995
 - David J. Bates, Senior Vice President – Operations, since 1995
 - Kevin M. Freeman, Senior VP-Sales, since 1997,
 - Adam N. Satterfield, Senior Vice President – Finance, Chief Financial Officer and Assistant Secretary, since 2004
 - Ross H. Parr, XXXX, Senior Vice President – Legal Affairs, General Counsel and Secretary, since 2011
- The Congdon family owns 20% of ODFL stock. That is 2.64 billion dollars. They have a stake in making sure the company's management has the shareholders interests in mind.
- From the 2018 Q1 earnings call:
 - "Important to note that Earl and I (David) will remain actively engaged in the company as board members and executive officers. Neither of us is ready to retire. We are significantly invested in this company, both personally and professionally, our continued influence is important and we love being part of such a high quality team."



Industry Peers for Trucking

Symbol	Company	Mkt Cap	Money Flow	Meaning	Moat	Mgmt	Predictability	Rule #1 Score
ODPL	Old Dominion Freight Line Inc.	\$12.19 Bn	\$89.50 Ml	95	51	99	97	96
KNDK	Knight-Ridder Transportation Holdings Inc.	\$6.76 Bn	\$-67.47 Ml	90	97	96	92	94
JBHT	J.B. Hunt Transport Services Inc.	\$13.37 Bn	\$244.53 Ml	86	78	94	91	87
SAVA	Sava Inc.	\$1.97 Bn	\$-16.26 Ml	78	75	67	89	82
LSTR	Landstar System Inc.	\$4.63 Bn	\$-24.00 Ml	68	50	98	73	72
WERN	Werner Enterprises Inc.	\$2.89 Bn	\$-55.95 Ml	65	47	90	60	66
MRTN	Marlin Transport Ltd.	\$1.23 Bn	\$-4.16 Ml	70	56	37	82	61
XPO	Xpo Logistics Inc.	\$12.26 Bn	\$67.32 Ml	68	100	0	71	60
CVTI	Covenant Transportation Group Inc.	\$548.46 Ml	\$-4.30 Ml	53	53	52	63	55
ARCB	ArcoBest Corporation	\$1.14 Bn	\$6.41 Ml	42	41	34	63	45
HTLD	Heartland Express Inc.	\$1.56 Bn	\$-5.45 Ml	41	16	44	50	38
PTSI	P.A.M. Transportation Services Inc.	\$265.04 Ml	\$-0.30 Ml	38	38	70	0	37
USAK	USA Truck Inc.	\$186.21 Ml	\$-1.91 Ml	20	28	6	5	15
YRCW	Yrc Worldwide Inc.	\$360.27 Ml	\$3.58 Ml	12	19	0	6	9

Top 5 by Market Cap



Industry Peers for Trucking

Symbol	Company	Mkt Cap	Money Flow	Meaning	Moat	Mgmt	Predictability	Rule #1 Score
JBHT	J.B. Hunt Transport Services Inc.	\$12.37 Bn	\$244.53 MM	95	78	94	91	87
XPO	Xpo Logistics Inc.	\$12.28 Bn	\$67.52 MM	68	100	0	71	60
ODFL	Old Dominion Freight Line Inc.	\$12.19 Bn	\$89.50 MM	95	91	99	97	96
KNTX	Knight-Swift Transportation Holdings Inc.	\$6.75 Bn	\$-67.47 MM	90	97	96	92	94
LSTR	Landstar System Inc.	\$4.63 Bn	\$-24.00 MM	68	50	98	73	72
WERN	Weimer Enterprises Inc.	\$2.69 Bn	\$-55.96 MM	65	47	90	60	66
SABA	Saba Inc.	\$1.97 Bn	\$-16.28 MM	78	75	87	89	82
HTLD	Heartland Express Inc.	\$1.56 Bn	\$-5.45 MM	41	16	44	50	38
MRTN	Marten Transport Ltd.	\$1.23 Bn	\$-4.16 MM	70	56	37	82	61
ARCB	Arctost Corporation	\$1.14 Bn	\$6.41 MM	42	41	34	63	45
CVTI	Covenant Transportation Group Inc.	\$548.46 MM	\$-4.30 MM	53	53	52	63	55
YRCW	Yrc Worldwide Inc.	\$300.27 MM	\$3.58 MM	12	19	0	6	9
PTSI	P.A.M. Transportation Services Inc.	\$285.04 MM	\$-0.30 MM	38	38	70	0	37
USAK	Usa Truck Inc.	\$186.21 MM	\$-1.91 MM	20	28	6	5	15

Top 5 by Rule 1 Score



Industry Peers for Trucking

Symbol	Company	Mid Cap	Money Flow	Meaning	Moat	Mgmt	Predictability	Rule #1 Score
ODFL	Old Dominion Freight Line Inc.	\$12.19 Bn	\$89.50 Ml	95	91	99	97	96
KNX	Knight-Swift Transportation Holdings Inc.	\$6.76 Bn	\$-67.47 Ml	90	97	96	92	94
JBHT	J.B. Hunt Transport Services Inc.	\$13.37 Bn	\$244.53 Ml	86	78	94	91	87
SAIA	Saia Inc.	\$1.97 Bn	\$-16.26 Ml	76	75	87	89	82
LSTR	Lend Lease System Inc.	\$4.63 Bn	\$-24.00 Ml	66	50	96	73	72
WERN	Werner Enterprises Inc.	\$2.69 Bn	\$-55.95 Ml	65	47	90	60	66
MRTN	Marten Transport Ltd.	\$1.23 Bn	\$-4.15 Ml	70	56	37	82	61
XPO	Xpo Logistics Inc.	\$12.28 Bn	\$67.32 Ml	68	100	0	71	60
CVTI	Covenant Transportation Group Inc.	\$548.46 Ml	\$-4.30 Ml	53	53	52	63	55
ARCB	ArcoBest Corporation	\$1.14 Bn	\$6.41 Ml	42	41	34	63	45
HTLD	Heartland Express Inc.	\$1.06 Bn	\$-5.45 Ml	41	15	44	50	36
PTSI	P.A.M. Transportation Services Inc.	\$265.04 Ml	\$-0.50 Ml	38	38	70	0	37
USAK	Ukia Truck Inc.	\$186.21 Ml	\$-1.91 Ml	20	28	6	5	15
YRCW	Yrc Worldwide Inc.	\$360.27 Ml	\$3.58 Ml	12	19	0	6	9

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